

Olevel economics

Market failure



By:-

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Policies to correct market failure with demerit goods

① Indirect tax e.g. sales tax / Value added tax

e.g. sales tax



Cost of production ↑



Burden ↑



Supply ↓



Burden passed on to consumers



Price ↑



Quantity demanded ↓



To what extent? It depends on PED!

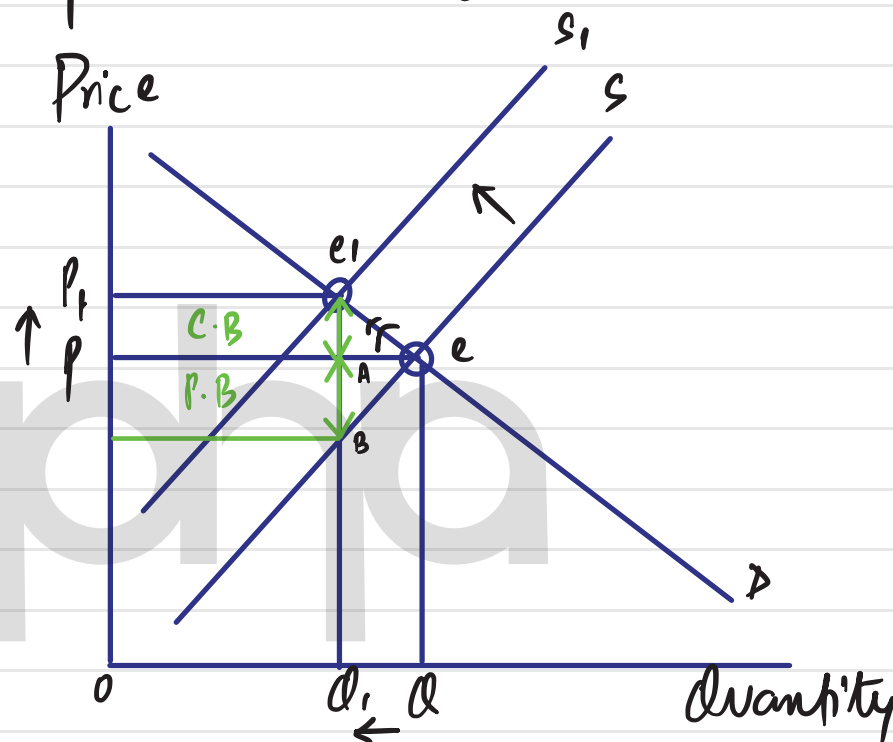
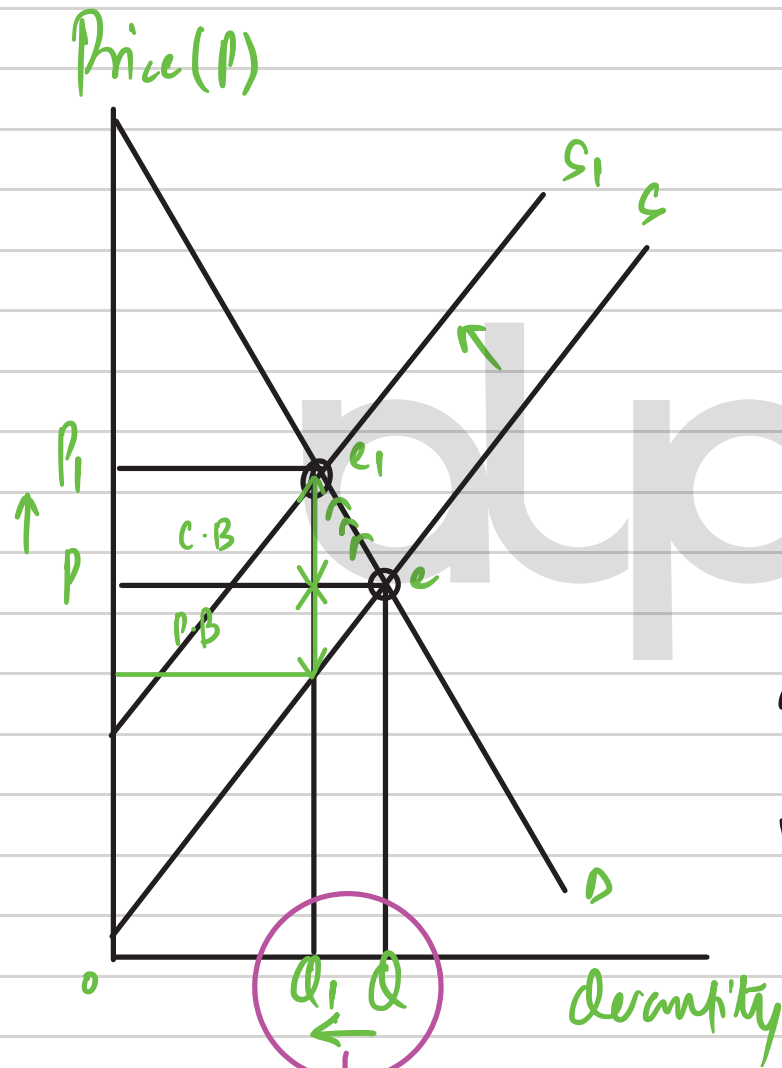


Diagram showing impact of indirect tax in a market on demerit goods!

But, demerit goods are mostly habitual, that is it has inelastic demand

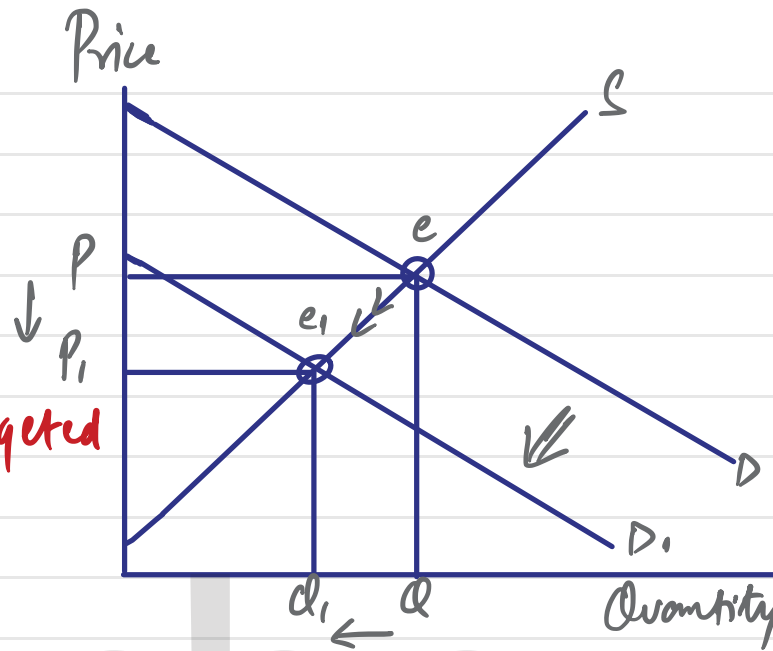


* Impact of indirect tax in reducing consumption of demerit goods will be there but by small extent. The advantage will be in terms of tax revenue which can be utilized by government in spreading awareness regarding health concerns, that is persuasive and informative advertising.

Quantity contracts by smaller percentage

2 Advertising

- ★ persuasive advertising
- ★ Informative advertising
- ★ Greater number of people to be targeted
- ★ Target :- Demand ↓
- ★ Expensive
- ★ Time consuming
- ★ It's impact will be in the longrun
- ★ Different mediums to be used to influence the decision of individuals



'Define advertising'

Use examples!

Policies to correct market failure with merit goods

① Subsidy

grant | cash payment
↓

By :- Government

TO :- producers

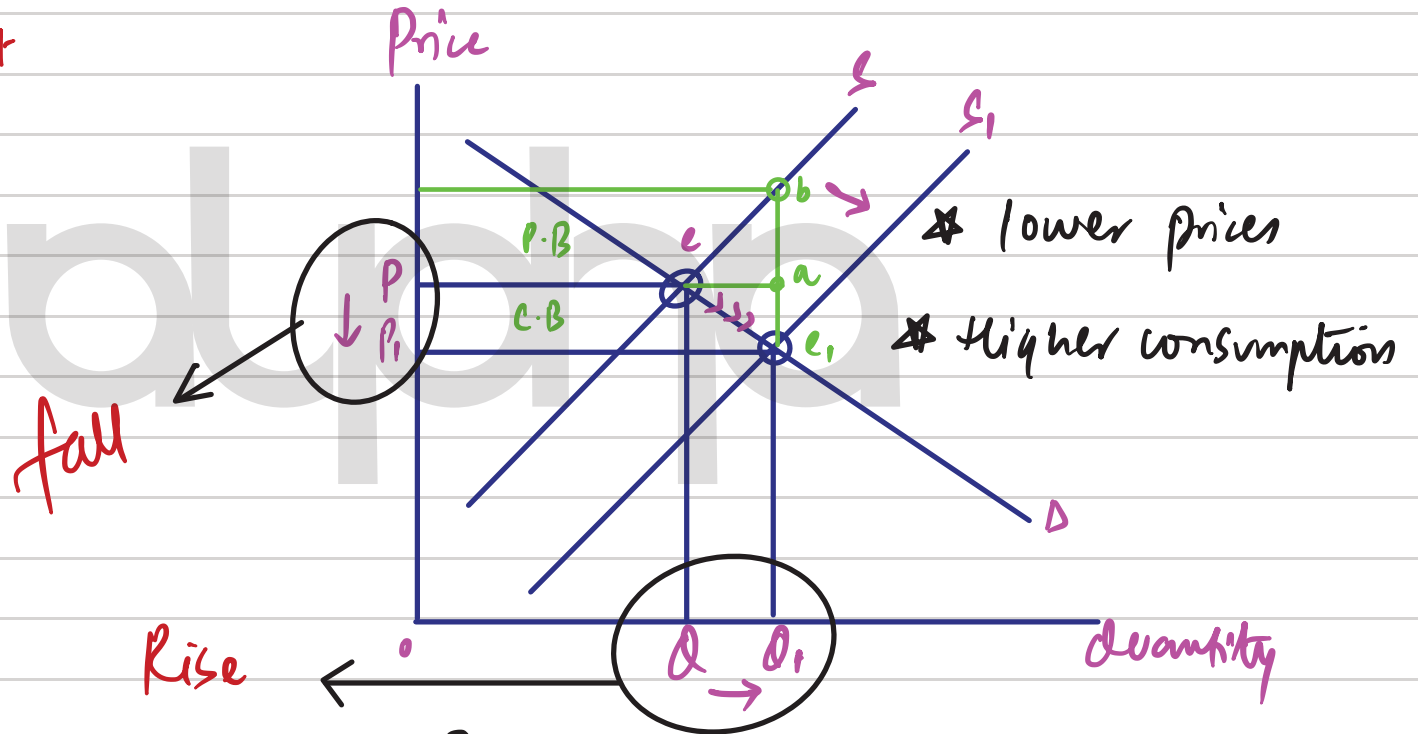
cost ↓

Supply ↑

Surplus

Prices ↓

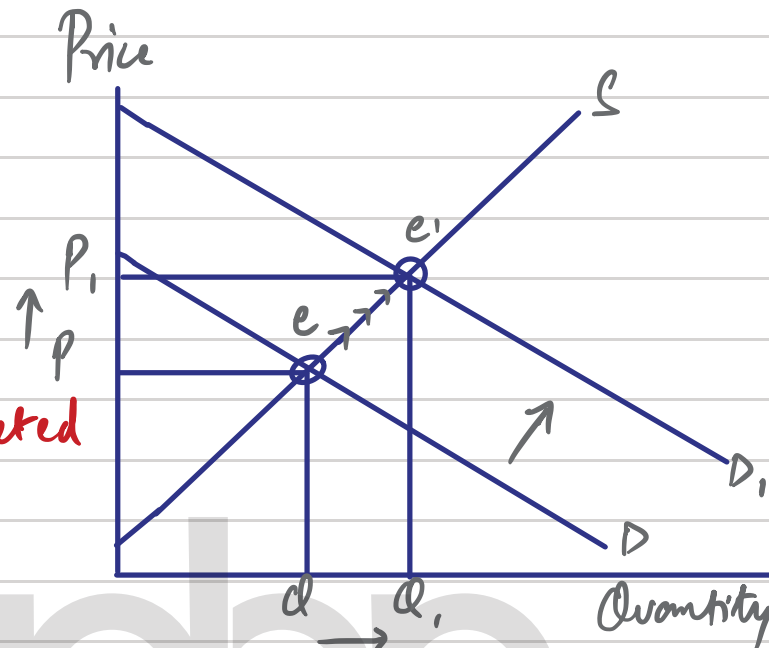
Quantity demand ↑



Impact on subsidy in a market of merit goods

2 Advertising

- ★ Persuasive advertising
- ★ Informative advertising
- ★ Greater number of people to be targeted
- ★ Target:- Demand $\uparrow$ (long term)
- ★ Expensive
- ★ Time consuming
- ★ Advertising $\rightarrow$ influence $\rightarrow$ Demand $\uparrow$
 - consumption $\uparrow$
 - production $\uparrow$
 - (External Benefit $\uparrow$)



Important paragraphs :-

1. Direct provision is a measure used to correct market failures caused by public goods such as national defence and street lighting. It is also commonly used to correct market failures caused by positive externalities and imperfect information about the beneficial effects such as education and healthcare.
2. A regulation is a rule or law established by a government. Regulations are usually backed up by a penalty for breaching them, such as a fine. Regulations influence and control the behaviour of firms in the private sector. For e.g. There are likely to be regulations about the establishment of new businesses in an economy.
3. Privatisation refers to the process of selling State owned enterprises and transferring their ownership from the public sector to the private sector. The aim of privatisation is to encourage greater efficiency and competition in a market.
4. Nationalisation refers to the process of transferring the ownership of firms from the private sector to the public sector, that is, enterprises are brought under the direct control of government. The aim is to control an industry in the public or national interest.

The effectiveness of Government intervention

Governments can be very effective in overcoming the drawbacks of a market economic system through the use of maximum and minimum prices, indirect taxation, subsidies, nationalisation and direct provision.

However, there are limits to the effectiveness of such government intervention. Maximum prices can lead to excess demand, minimum prices can lead to excess supply and nationalized enterprises can be bureaucratic and inefficient. It is even possible that government intervention could reduce the level of efficiency in an economy.

Questions

marks: 30

Q1) Using diagram, explain how indirect tax and advertising can resolve the issue of demerit goods? 8

Ans:- Define indirect tax, diagram, its impact
Define advertising, diagram, its impact

Q2) Using diagram, explain how subsidy and advertising can resolve the issue of merit goods? 8

Ans:- Define subsidy, diagram, its impact
Define advertising, diagram, its impact

Q3 Define following terms ? 8

- Regulation
- Privatisation
- Nationalisation
- Direct provision of goods

Q4 Explain the effectiveness of government intervention ? 6